



Financial accounting

A company's financial accounts classify, quantify, and record its transactions. They are extremely useful for people outside the business, such as creditors and potential investors, as well as those currently involved with making investment decisions. For this reason, the accounts should be concise and clearly present the timing and certainty of future cash flows, so that people looking at the company can decide whether or not to invest in, lend money to, or do business with it.

Key elements

The profit-and-loss account, balance sheet, and cash-flow statements are the most important financial statements in an annual review, supplemented by the report's notes. To understand these statements, a knowledge of accounting principles, depreciation, amortization, and depletion is vital. Accountants also need to understand the legal requirements that the statements must satisfy and how environmental laws can affect a business and its accounts.

Accounting standards

Generally accepted principles standardize practice worldwide to ensure accuracy and prevent fraud. *See pp.112-113.*

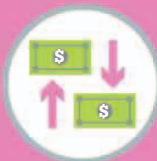
- › International standards simplify account reporting.
- › Companies must meet environmental accounting rules and regulations. *See pp.122-123.*



Profit-and-loss statement

Shows how much money a company is making and is especially useful for potential investors and stakeholders. *See pp.114-115.*

- › Outlines revenues and gains minus expenses and losses or operating costs.
- › Informs a company if a profit warning is needed.



Balance sheet

Gives a snapshot of how much a business is worth at a certain time and is a good indication of its long-term health. *See pp.116-119.*

- › Balances company's assets against its equity and liabilities.
- › Lists different types of assets, including tangible fixed assets and current assets.

